Real-World Assets & Tokenization: Bridging TradFi and DeFi

Standalone Technical Lecture

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University Lecture Series

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Lecture Roadmap

1. Tokenization Fundamentals → 2. Stablecoins Deep Dive → 3. Security Tokens & Compliance → 4. Real Estate & Bond Tokenization → 5.

Learning Objectives

- Understand tokenization mechanics and real-world asset classes
- Analyse stablecoin designs: fiat-backed, crypto-backed, algorithmic
- Evaluate security token standards and compliance frameworks
- Assess real estate and bond tokenization case studies
- Survey the RWA ecosystem, institutional adoption, and future outlook

Prerequisites

- Lessons 1–5: Blockchain fundamentals, smart contracts, DeFi
- Basic familiarity with traditional finance (bonds, real estate, securities)

Durat

90 minutes — 5 sections — ˜55 frames — Prerequisite: Lessons 1–5

Table of Contents

Navig

through 5 sections from tokenization fundamentals to the future of the RWA ecosystem

Section 1: Tokenization Fundamentals

What is tokenization, asset classes, token standards, and the fractionalization revolution

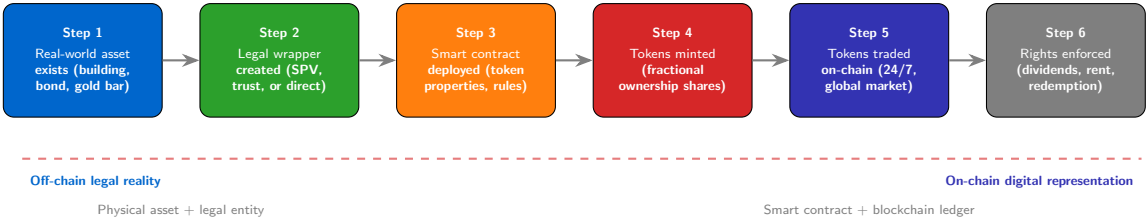
What You Will Learn

- What tokenization means and how it digitizes ownership
- Tokenizable asset classes: real estate, bonds, commodities, art
- Token standards: ERC-20, ERC-721, ERC-1155, ERC-3643
- Benefits: fractional ownership, 24/7 markets, global access

Frames in This Section

- Frame 5: What is Tokenization?
- Frame 6: Tokenizable Asset Classes
- Frame 7: Token Standards for RWA
- Frame 8: ERC-20 Asset Token Contract (Code)
- Frame 9: Fractionalization Mechanics
- Frame 10: Benefits of Tokenization
- Frame 11: Challenges of Tokenization
- Frame 12: The Oracle Problem for RWA
- Frame 13: Tokenization Market Map
- Frame 14: Section 1 Summary

What is Tokenization?



Toke

creates a digital twin of asset ownership – the legal wrapper ensures the token conveys real legal rights

Tokenizable Asset Classes

Real Estate ($330T)
Residential, commercial, REITs
Fractional ownership: $50 min
Largest tokenizable asset class

Bonds & Fixed Income ($130T)
Government, corporate, T-bills
T+0 settlement vs T+2 traditional
BlackRock BUIDL, Franklin Templeton

Commodities ($100T+)
Gold (PAXG, XAUT), oil, agriculture
Verifiable supply chain on-chain
Eliminates paper gold counterparty risk

Private Credit ($1.5T)
Invoices, trade finance, structured
Transparent risk assessment
Centrifuge, Maple Finance, Goldfinch

Art & Collectibles
Fine art (Masterworks), luxury goods
Wine, classic cars, memorabilia
Democratized alternative assets

Carbon Credits & ESG
Voluntary carbon markets, RECs
Programmable retirement on-chain
Toucan Protocol, KlimaDAO

Total Addressable Market: $500T+ in global assets

Even tokenizing 1% of global real estate ($330T) would create a $3.3T on-chain market – larger than all of DeFi today

Token Standards for RWA

ERC-20

Fungible

Every token identical

Used for: stablecoins, commodity tokens, fund shares

Examples: USDC, PAXG, BUIDL

ERC-721

Non-Fungible

Each token unique

Used for: property deeds, art certificates, unique assets

Examples: RealT, art NFTs

ERC-1155

Multi-Token

Fungible + non-fungible

Used for: mixed portfolios, batch ops, gaming assets

Benefit: efficient gas usage

ERC-3643 / T-REX

Compliant Security

ERC-20 + identity + transfer restrictions

Used for: regulated securities

Requires: KYC/AML

Inherits ERC-20 + adds compliance layer

ERC-3643 is the standard adopted by most security token platforms – it adds identity verification and transfer restrictions to ERC-20

ERC-20 Asset Token Contract

```
// Tokenized Real Estate Fund
contract RealEstateFund {
    string public name =
        "NYC Property Fund";
    string public symbol = "NYCPF";
    uint8 public decimals = 18;
    uint256 public totalSupply;

    mapping(address => uint256)
        public balanceOf;

    address public manager;
    uint256 public navPerToken;

    constructor(uint256 supply) {
        manager = msg.sender;
        totalSupply = supply;
        balanceOf[msg.sender] = supply;
    }

    function updateNAV(
        uint256 newNAV
    ) external {
        require(msg.sender == manager);
        navPerToken = newNAV;
        emit NAVUpdated(newNAV);
    }
}
```

How This Works

- **Token = Fund Share**: Each token represents a fractional ownership share in the NYC Property Fund
- **NAV Updates**: Fund manager calls `updateNAV()` to reflect current property valuation
- **balanceOf**: Tracks each investor's fractional ownership on-chain
- **Transfer**: Standard ERC-20 transfer enables secondary market trading 24/7
- **Dividends**: Rental income distributed via a separate distribution function (not shown)

Key Design Patterns

- Manager role for privileged operations
- On-chain state reflects off-chain asset value
- Transparent, auditable ownership ledger

This simplified contract shows the core pattern: tokens represent ownership shares, manager updates NAV, holders can transfer freely

Fractionalization Mechanics

Manhattan Building
$10 Million Value

→

Step 1: SPV
LLC acquires building

→

Step 2: Mint
10,000 tokens
1 = $1,000

→

Step 3: Sale
Primary market (e.g., RealT)

→

Step 4: Trade
Secondary 24/7 DEX or exchange

Step 5: Rental Income – $50,000/month
100 tokens = $500/month in rent
Proportional distribution via smart contract

Step 6: Exit – Building sells for $12M
Each token redeemable for $1,200
20% capital gain per token holder

Traditional real estate: $100K+ minimum investment vs. **Tokenized**: $50 minimum – 2000x lower barrier

Fract

is the most transformative aspect of tokenization – it turns illiquid assets into liquid, accessible investments

Benefits of Tokenization

24/7 Global Markets
Trade at midnight on Sunday
No market close, cross-border access
Always-on liquidity

Fractional Ownership
$50 minimum vs $100K+ traditional
Democratized access to all asset classes
Retail investors participate globally

Instant Settlement
T+0 on-chain vs T+2 equities
vs T+3 real estate traditional
Atomic swap eliminates counterparty risk

Programmable Compliance
KYC/AML enforced by smart contract
Auto-dividend distribution
Regulatory rules embedded in code

Reduced Intermediaries
No transfer agents, fewer custodians
Lower fees: 0.1% vs 2–5% traditional
Disintermediation of rent-seekers

Transparent Ownership
On-chain cap table, real-time audit
Immutable records of all transfers
Regulators can verify instantly

McKi

estimates tokenization could save financial institutions $100–200B annually in back-office costs alone

Challenges of Tokenization

Technical Challenges

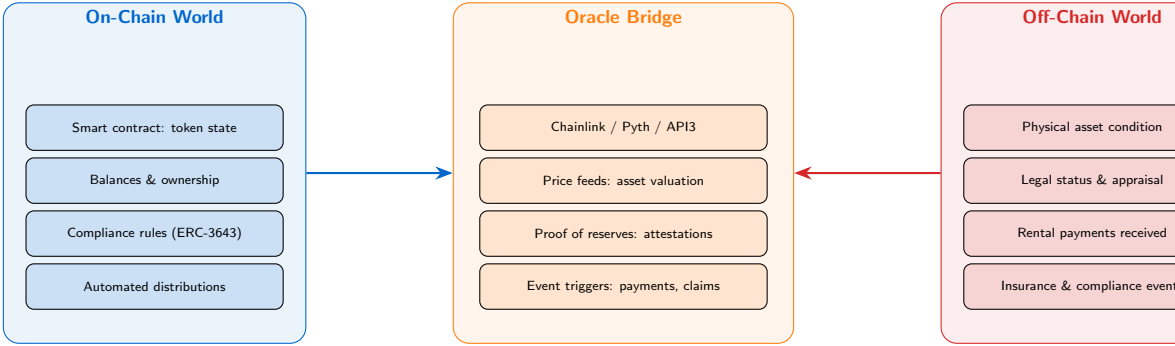
- **Oracle Problem**: How does the blockchain know the building's condition, occupancy, or sale price?
- **Smart Contract Risk**: Bugs can lock or drain tokenized assets worth millions
- **Scalability**: High-value assets need robust, battle-tested chains
- **Interoperability**: Tokenized assets on different chains cannot easily interact

Legal & Regulatory Challenges

- **Legal Recognition**: Does a token convey legal ownership? Varies by jurisdiction
- **Cross-Border Complexity**: US-tokenized building sold to Japanese investor – which laws apply?
- **Bankruptcy**: If the SPV or platform fails, what happens to token holders?
- **Tax Reporting**: Capital gains, rental income, cross-border withholding

The oracle problem is fundamental: a blockchain can verify on-chain state perfectly, but cannot independently verify off-chain reality

The Oracle Problem for RWA

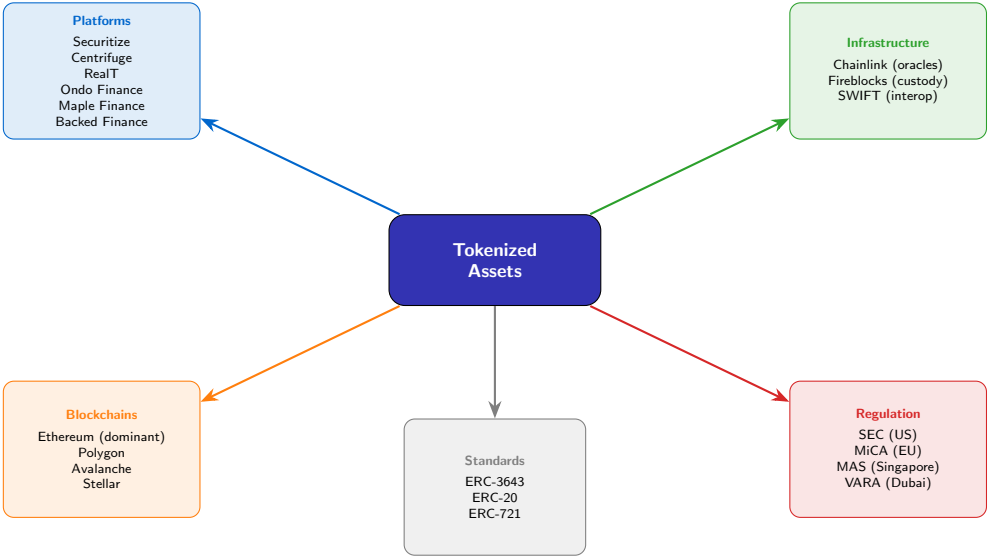


Trust Assumption: Oracle operator must be honest — Multiple oracles reduce single-point-of-failure
Attestation Types: Automated (API data feeds) vs. Manual (auditor reports, inspections)

Unlik

DeFi protocols that use on-chain price feeds, RWA oracles often require human attestation – introducing trust assumptions

Tokenization Market Map



Ether

dominates RWA tokenization with 60%+ market share – security, liquidity, and institutional trust drive this concentration

Section 1 Summary: Tokenization Fundamentals

1. Tokenization digitizes ownership rights on a blockchain via legal wrappers (SPVs) and smart contracts

2. Asset classes totaling $500T+ (real estate, bonds, commodities, credit, art) are candidates for tokenization

3. ERC-20 (fungible), ERC-721 (unique), ERC-1155 (hybrid), and ERC-3643 (compliant) are the key token standards

4. Fractionalization enables $50 minimums vs $100K+ traditional, unlocking global investor access

5. The oracle problem and legal recognition are fundamental challenges bridging on-chain tokens to off-chain reality

Secti

1 complete — Next: Section 2 – Stablecoins Deep Dive

Section 2: Stablecoins Deep Dive

Taxonomy, mechanics, reserves, risks, and the regulatory frontier

What You Will Learn

- Stablecoin taxonomy: fiat-backed, crypto-backed, algorithmic, commodity-backed
- USDT, USDC, and DAI mechanics in depth
- Reserve attestation models and depeg risks
- The Terra/Luna collapse and regulatory response

Frames in This Section

- Frame 16: Stablecoin Taxonomy
- Frame 17: USDT (Tether) Mechanics
- Frame 18: USDC & Reserve Transparency
- Frame 19: DAI & Crypto-Backed Mechanics
- Frame 20: Collateralized Vault Contract (Code)
- Frame 21: The Terra/Luna Collapse
- Frame 22: Stablecoin Reserve Models Compared
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- Frame 24: Stablecoin Regulation
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Stablecoin Taxonomy

Fiat-Backed (centralized, reserve-backed)

USDT ($90B+) **USDC** ($30B+) TUSD FDUSD

Mechanism: 1:1 reserves in bank accounts / T-bills
Risk: custodian failure, regulatory seizure, reserve opacity

Crypto-Backed (decentralized, overcollateralized)

DAI ($5B+) LUSD ($300M+) sUSD

Mechanism: lock $150+ of crypto to mint $100 of stablecoin
Risk: black swan liquidation cascade, oracle failure

Algorithmic (decentralized, no collateral)

UST ($0 – collapsed) FRAX (hybrid) USDD

Mechanism: expand/contract supply via burn/mint
Risk: death spiral if confidence lost (proven by Terra)

Commodity-Backed (centralized, asset-backed)

PAXG ($500M+) XAUT ($400M+)

Mechanism: each token backed by physical gold in vault
Risk: custodian risk, audit frequency

Market Share: Fiat-backed = 90%+ of total stablecoin market cap ($150B+)

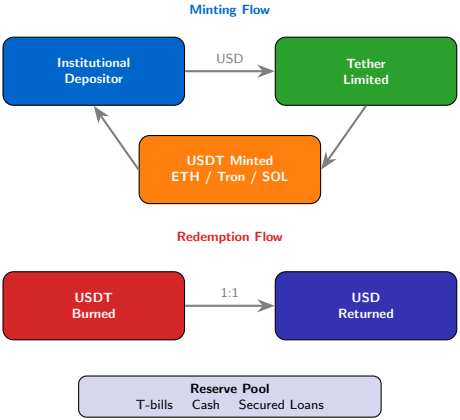
Stabl

are the largest crypto use case by settlement volume – fiat-backed stablecoins dominate with over 90% market share

USDT (Tether) Mechanics

How Tether Works

- **Market cap:** $90B+ (largest stablecoin)
- **Issuer:** Tether Limited (BVI)
- **Peg:** Authorized participants deposit USD, receive USDT; redeem USDT for USD
- **Reserve composition** (latest attestation):
  - ∼85% US Treasury bills
  - ∼10% secured loans
  - ∼5% other (BTC, precious metals)
- **Controversy:** 2019 NYAG investigation, undisclosed $850M Bitfinex loan
- **No full audit** – quarterly attestation by BDO Italia



Tethe

is the most systemically important stablecoin but also the most controversial – $90B+ in circulation, never fully audited

USDC & Reserve Transparency

How Circle/USDC Works

- **Market cap:** $30B+ (second largest)
- **Issuer:** Circle (US-regulated money transmitter)
- **Reserves:** ∼80% short-term US Treasuries, ∼20% cash at regulated banks
- **Monthly attestation** by Deloitte (Big 4 auditor)
- **Regulated** in US, EU (MiCA compliant), Singapore
- **March 2023 depeg:** SVB held $3.3B of reserves – depeg to $0.87 during collapse, recovered in 48h when Fed backstopped deposits

USDT vs USDC Comparison

Dimension	USDT	USDC
Market Cap	$90B+	$30B+
Attestation	Quarterly (BDO)	Monthly (Deloitte)
Reserves	T-bills + loans	T-bills + cash
Regulation	Minimal	Comprehensive
Transparency	Opaque	Transparent
Depeg History	Brief depegs	SVB $0.87

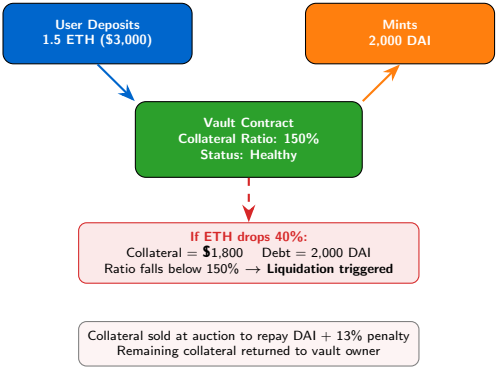
The SVB depeg showed that even well-reserved stablecoins face risk from banking system failures – diversification of reserves matters

DAI & Crypto-Backed Mechanics

MakerDAO/DAI Architecture

- **Decentralized stablecoin:** no single issuer
- **Vault (CDP) mechanism:**
  - Deposit ETH (or WBTC, stETH) as collateral
  - Mint DAI up to collateralization ratio (e.g., 150% for ETH)
  - Pay stability fee (interest) on outstanding DAI
  - If collateral ratio drops below threshold, liquidation auction
- **Governance:** MKR token holders set parameters (rates, ratios, collateral types)
- **PSM:** Peg Stability Module allows 1:1 swap with USDC
- **RWA vaults:** $2B+ in real-world assets (US Treasuries, commercial loans)

Vault Mechanics



Make

pivot to RWA collateral is historic: DAI is now backed 40%+ by real-world assets, blurring the line between DeFi and TradFi

Collateralized Vault Contract

```
// Simplified Collateral Vault
contract StablecoinVault {
    uint256 public constant
        MIN_RATIO = 150; // 150%
    mapping(address => uint256)
        public collateral;
    mapping(address => uint256)
        public debt;

    function deposit()
        external payable {
        collateral[msg.sender]
            += msg.value;
    }

    function borrow(uint256 amount)
        external {
        uint256 colValue =
            collateral[msg.sender]
            * getPrice() / 1e18;
        require(
            colValue * 100
            >= (debt[msg.sender]
            + amount) * MIN_RATIO,
            "Below min ratio"
        );
        debt[msg.sender] += amount;
        // Mint stablecoin to user
    }
}
```

Overcollateralization

- `MIN_RATIO = 150`: Must deposit $150 of ETH to borrow $100 of stablecoins
- 50% buffer absorbs ETH price volatility before liquidation is needed

Collateral Ratio Calculation

- `colValue * 100 >= debt * 150`
- `getPrice()` calls Chainlink oracle for ETH/USD price feed
- If ratio drops below 150%, anyone can trigger liquidation

Governance Parameters

- MKR holders vote on `MIN_RATIO` and stability fee
- Different collateral types have different ratios (ETH 150%, WBTC 175%)
- Stability fee accrues continuously on outstanding debt

This simplified contract demonstrates the core overcollateralization pattern – MakerDAO's production vault has 2,000+ lines of audited Solidity

The Terra/Luna Collapse

Phase 1
Pre-Collapse
May 7, 2022

UST at $1.00
LUNA at $80
TVL: $18B

Anchor Protocol:
20% APY on UST

"Too good to be true?"

→

Phase 2
Depeg Begins
May 8–9

Large UST sells ($2B+) overwhelm liquidity pools

UST drops to $0.90
LUNA minted to absorb redemptions

Panic begins

→

Phase 3
Death Spiral
May 10–12

LUNA hyperinflation:
supply 350M → 6.5T

UST falls to $0.10
LUNA falls to $0.0001

Anchor TVL:
$18B → near zero

Reflexive doom loop

→

Phase 4
Aftermath

$40B+ destroyed

Contagion dominoes:
3AC, Celsius, Voyager, FTX

Do Kwon arrested
(March 2023)

Regulatory crackdown

Cascade: UST depeg → LUNA hyperinflation → $40B evaporated → 3AC/Celsius/Voyager/FTX contagion → regulatory crackdown

Terra was crypto's Lehman Brothers moment – the death spiral proved that algorithmic stablecoins without real reserves are inherently fragile

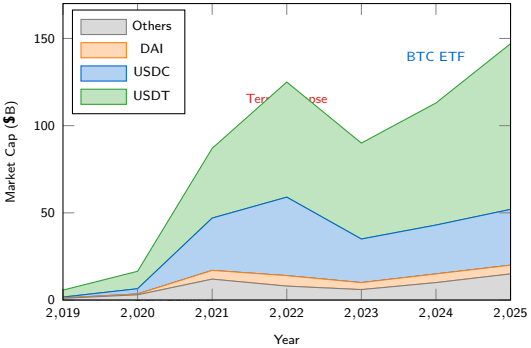
Stablecoin Reserve Models Compared

Feature	USDT	USDC	DAI	PAXG
Type	Fiat-backed	Fiat-backed	Crypto-backed	Commodity-backed
Market Cap	$90B+	$30B+	$5B+	$500M+
Backing	T-bills/cash/loans	T-bills/cash	ETH/WBTC/RWA	Physical gold
Collateral Ratio	1:1	1:1	150%+	1:1
Auditor	BDO Italia (quarterly)	Deloitte (monthly)	On-chain (real-time)	Withum (monthly)
Depeg History	Brief depegs	SVB depeg $0.87	Brief MCD migration	None
Regulation	Minimal	US regulated / MiCA	Decentralized	NYDFS regulated
Chain Support	ETH/Tron/Solana	ETH/Solana/Base	Ethereum	Ethereum
Risk Profile	Custodian + opacity	Banking system	Oracle + liquidation	Custodian

Key Insight: Each stablecoin model trades off decentralization, capital efficiency, and regulatory compliance differently

Each stablecoin model has a different risk profile – there is no risk-free stablecoin, only different risk tradeoffs

Stablecoin Market Dominance



Key Statistics (2024/2025)

- **Total market cap:** $150B+
- **Daily settlement:** $30–50B (rivaling traditional payment rails)
- **Annual on-chain:** $10T+ (comparable to major card networks)

Market Share

- USDT: ∼60%
- USDC: ∼20%
- DAI: ∼3%
- Others: ∼17%

Trend

USDT dominance grew during 2022–2023 bear market. USDC lost share after SVB depeg but recovering with MiCA compliance.

Stabl

are the most successful blockchain use case by adoption – settling trillions annually with growing institutional and retail usage

Stablecoin Regulation

European Union
MiCA (effective June 2024)

Stablecoin-specific rules
(Title III: ARTs, Title IV: EMTs)

Reserve: liquid, segregated, 1:1
Redemption at par anytime
Ban on interest for EMTs

$200M daily volume triggers
enhanced requirements

Gold standard for stablecoin regulation

influences →

United States
Fragmented – no federal law yet

Multiple bills proposed:
Lummis-Gillibrand,
GENIUS Act

SEC, CFTC, OCC, states
all claim jurisdiction

NYDFS regulates Paxos
State money transmitter
licenses required

Regulatory uncertainty slows innovation

competes →

Innovation Hubs
Singapore / Dubai / Hong Kong

MAS (Singapore):
Payment Services Act

VARA (Dubai):
Dedicated crypto framework

HKMA (Hong Kong):
Sandbox for stablecoin issuers

Innovation-friendly with guardrails

Trend: Global convergence toward reserve requirements and redemption rights – MiCA is the template

MiCA is the world's first comprehensive crypto regulation – its stablecoin rules set the global template for reserve and redemption requirements

Section 2 Summary: Stablecoins Deep Dive

1. Stablecoins are the largest RWA category ($150B+ market cap) – fiat-backed dominate at 90%+ market share

2. USDT (largest, least transparent), USDC (regulated, Deloitte-audited), DAI (decentralized, overcollateralized) serve different needs

3. The Terra/Luna collapse ($40B destroyed) proved algorithmic stablecoins without real reserves are fatally flawed

4. Reserve quality matters: the SVB depeg showed even well-backed stablecoins face banking system contagion risk

5. MiCA (EU) sets the regulatory template; US regulation remains fragmented across multiple agencies

Secti

2 complete — Next: Section 3 – Security Tokens & Compliance

Section 3: Security Tokens & Compliance

Legal classification, the Howey test, ERC-3643, and the regulated token economy

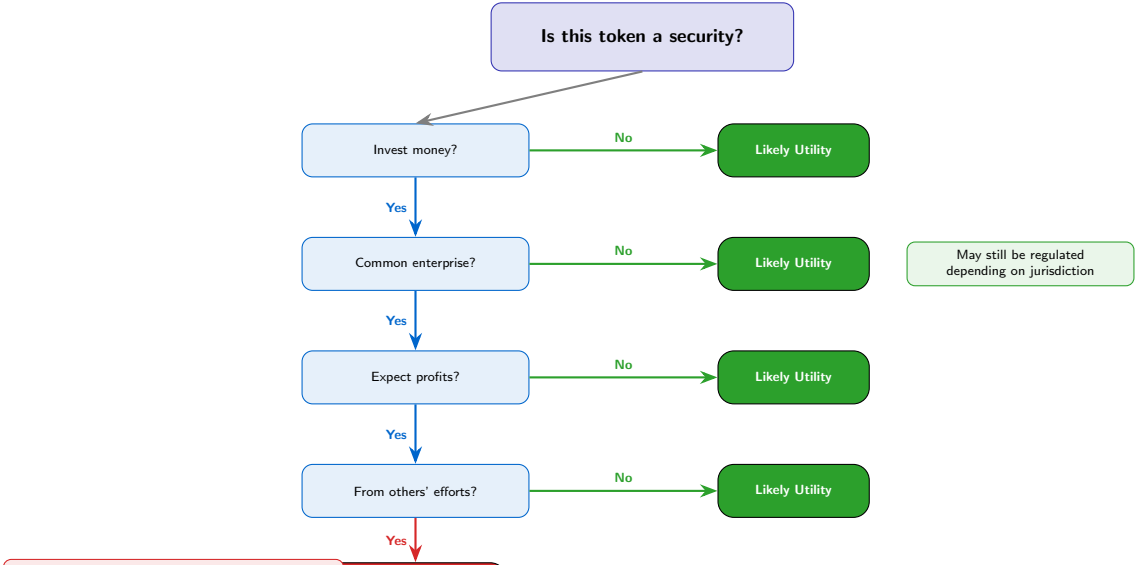
What You Will Learn

- Security vs utility token classification and the Howey test
- SEC enforcement actions and regulatory precedents
- ERC-3643 (T-REX) standard for compliant security tokens
- Regulated exchanges, legal wrappers, and on-chain KYC/AML

Frames in This Section

- Frame 27: Security vs Utility Tokens
- Frame 28: SEC Enforcement & Precedents
- Frame 29: The Howey Test in Practice
- Frame 30: On-Chain KYC/AML Architecture
- Frame 31: ERC-3643 Compliant Transfer (Code)
- Frame 32: Transfer Restriction Patterns
- Frame 33: Regulated Security Token Exchanges
- Frame 34: Legal Wrappers for Tokenized Assets
- Frame 35: Tokenized vs Traditional Securities
- Frame 36: Section 3 Summary

Security vs Utility Tokens



SEC Enforcement & Precedents

2017
The DAO Report
SEC declares DAO tokens are securities
No enforcement, but warning shot

2018
EtherDelta
SEC fines unregistered exchange
Charges various ICOs

2020
Ripple/XRP
$1.3B case: XRP alleged to be unregistered security

2023
Ripple Ruling
Programmatic sales NOT securities; institutional sales ARE

2023
Coinbase & Binance
SEC alleges multiple tokens are securities (SOL, ADA, MATIC)

2024
ETF Approvals
BTC and ETH spot ETFs approved
Implicitly NOT securities

2025
Clarity
FIT21 and market structure bills advancing
Regulatory framework forming

Key Insight: The SEC uses enforcement as regulation – sue first, clarify later

The Howey Test in Practice

Passes Howey Test (IS a Security)

- Token sale funding a project development team
- Tokens with profit-sharing from company revenue
- Tokens whose value depends on management team efforts
- Tokenized real estate with rental yield
- Tokenized equity or debt instruments

Examples: Many 2017 ICO tokens, LBRY Credits (SEC won)

Fails Howey Test (NOT a Security)

- Decentralized network tokens where no single party drives value
- Utility tokens providing access to a live, functioning product
- Governance tokens with no profit expectation (debatable)
- Sufficiently decentralized tokens (the "Hinman test" – Ethereum)
- Bitcoin (commodity per CFTC)

Examples: BTC, ETH (per SEC guidance)

Gray Zone – Most tokens live here

Classification depends on specific facts and circumstances — "Sufficient decentralization" is the key escape hatch

The distinction often comes down to "sufficient decentralization" – if no single entity drives the token's value, it may escape security classification

On-Chain KYC/AML Architecture

Layer 1: User User provides KYC documents (passport, proof of address, accreditation proof) to Identity Provider

↓

Layer 2: Identity Provider Securitize ID, Fractal, Civic – verifies identity and issues on-chain att

ERC-3643 implements this entire stack

↓

Layer 3: On-Chain Identity Registry (Smart Contract)

```
isVerified(address) -> bool    getCountry(address) -> countryCode    isAccredited(address) -> bool
```

↓

Layer 4: Token Contract Checks Registry BEFORE Every Transfer

Sender verified? → Receiver verified? → Country restrictions? → Investment limit? → **PASS** or **REVERT**

On-chain KYC turns compliance from a manual process into programmable logic – every transfer is automatically checked against compliance rules

ERC-3643 Compliant Transfer

```
// Simplified ERC-3643 Token
contract SecurityToken {
    IIdentityRegistry public
        identityRegistry;
    ICompliance public compliance;

    mapping(address => uint256)
        public balanceOf;

    function transfer(
        address to,
        uint256 amount
    ) external returns (bool) {
        require(
            identityRegistry
                .isVerified(msg.sender),
            "Sender not verified"
        );
        require(
            identityRegistry
                .isVerified(to),
            "Receiver not verified"
        );
        require(
            compliance.canTransfer(
                msg.sender, to, amount
            ),
            "Compliance check failed"
        );
        balanceOf[msg.sender] -= amount;
        balanceOf[to] += amount;
        return true;
    }
}
```

Identity Registry Checks

- **isVerified()**: Checks both sender and receiver have completed KYC through an approved Identity Provider
- On-chain attestation links wallet address to verified identity claim
- Identity can be revoked if KYC expires or sanctions list changes

Compliance Module

- **canTransfer()**: Enforces country restrictions, investor limits, lockup periods, and volume caps
- Modular: swap compliance rules without redeploying the token contract
- Issuer configures rules per jurisdiction

ERC-3643 in Production

- Wraps ERC-20 with a compliance layer – all standard ERC-20 functions still work
- Developed by Tokeny Solutions – 500+ deployments on Ethereum and Polygon

Transfer Restriction Patterns

Country Restrictions

Block transfers to/from
sanctioned countries (OFAC list)

Investor Limits

Max token holders
(Reg D 506(c): accredited only,
max 2000 before SEC reporting)

Lockup Periods

Tokens locked for X months
after issuance (vesting)

Transfer Volume Limits

Max transfer size per period
(anti-money laundering)

Accreditation Check

Only accredited investors
($1M+ net worth or
$200K+ annual income)

Forced Transfer

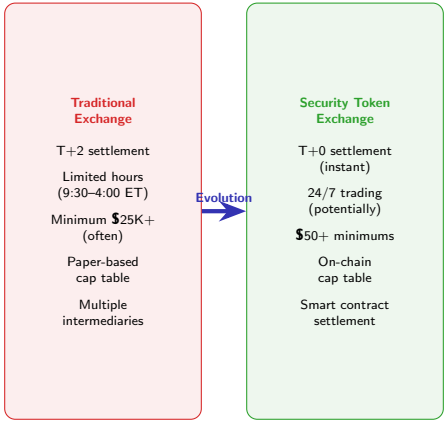
Issuer can forcibly transfer
tokens (court order, regulatory
action, lost keys recovery)

These restrictions exist in traditional securities too – tokenization makes them programmable and automatic rather than manual and error-prone

Regulated Security Token Exchanges

Exchange Landscape

- **tZERO** (US): Overstock-backed, SEC-registered ATS. Trades tokenized equity, real estate, digital securities
- **Securitize Markets** (US): SEC-registered broker-dealer and ATS. Largest platform by issuances (500+). End-to-end: issuance + compliance + trading
- **INX** (Israel/US): SEC-registered security token exchange. First SEC-registered IPO on blockchain
- **SIX Digital Exchange** (Switzerland): FINMA-regulated. First fully regulated digital asset exchange by traditional exchange operator
- **Archax** (UK): FCA-regulated. Focused on institutional investors



The security token exchange landscape is still early – combined daily volume across all STO exchanges is tiny compared to traditional exchanges

Legal Wrappers for Tokenized Assets

Pattern 1: SPV Model
(Most Common)

Real asset owned by LLC / Special Purpose Vehicle

SPV shares tokenized as ERC-3643 tokens

Token holders are legal shareholders of SPV

SPV operating agreement governs rights

Pattern 2: Trust Model

Asset held in trust (e.g., Delaware Statutory Trust)

Trust units tokenized on-chain

Trustee manages asset, distributes returns

Common for real estate funds

Pattern 3: DAO Wrapper
(Emerging)

DAO holds assets through legal entity (Wyoming DAO LLC, Marshall Islands)

Governance tokens control asset management decisions

Legal recognition varies by jurisdiction

Key Insight: The token is NOT the asset – the token represents a **CLAIM** on the legal entity that owns the asset.

Without a proper legal wrapper, a token is just code – the legal structure gives the token holder enforceable rights to the underlying asset.

With

a proper legal wrapper, a token is just code – the legal structure is what gives the token holder enforceable rights to the underlying asset

Tokenized vs Traditional Securities

Dimension	Traditional Securities	Tokenized Securities
Settlement Time	T+2 days	T+0 (instant on-chain)
Trading Hours	9:30–4:00 M–F	24/7 (potentially)
Minimum Investment	Often $10K+	$50+
Custody	Custodian bank required	Self-custody or institutional wallet
Dividend Distribution	Wire transfer (5–10 business days)	Smart contract (instant)
Cap Table	Paper / spreadsheet	On-chain (real-time, auditable)
Compliance	Manual (lawyers, transfer agents)	Automated (ERC-3643)
Cross-Border Access	Complex (different depositories)	Native (blockchain is global)
Issuance Cost	$500K–$5M	$50K–$500K
Secondary Liquidity	Established exchanges	Early-stage exchanges
Investor Eligibility	Accredited + retail (post-IPO)	Mostly accredited (for now)
Regulatory Status	Well-established	Evolving

Bottom Line: Tokenized securities are NOT yet strictly better – regulatory friction, liquidity depth, and institutional trust still favor traditional markets for most investors today

Toke

securities are NOT yet strictly better – regulatory friction, liquidity, and institutional trust still favor traditional markets for most investors

Section 3 Summary: Security Tokens & Compliance

1. The Howey test determines if a token is a security: investment of money + common enterprise + profit expectation + from others' efforts

2. SEC enforces through litigation – the Ripple ruling created nuance (programmatic vs institutional sales)

3. ERC-3643 adds identity verification and transfer restrictions to ERC-20, enabling on-chain regulatory compliance

4. Legal wrappers (SPVs, trusts, DAO LLCs) bridge the gap between on-chain tokens and off-chain legal rights

5. Regulated security token exchanges exist (tZERO, Securitize) but volumes remain tiny compared to traditional markets

Secti

3 complete — Next: Section 4 – Tokenized Treasuries & Institutional DeFi

Section 4: Real Estate & Bond Tokenization

Platforms, institutional adoption, yield-bearing tokens, and real-world case studies

What You Will Learn

- Real estate tokenization mechanics and platforms (RealT, Centrifuge)
- Bond tokenization by institutions (JPMorgan, Siemens, EIB)
- Private credit markets on-chain (Maple Finance, Goldfinch)
- Yield-bearing tokens: tokenized T-bills and institutional products

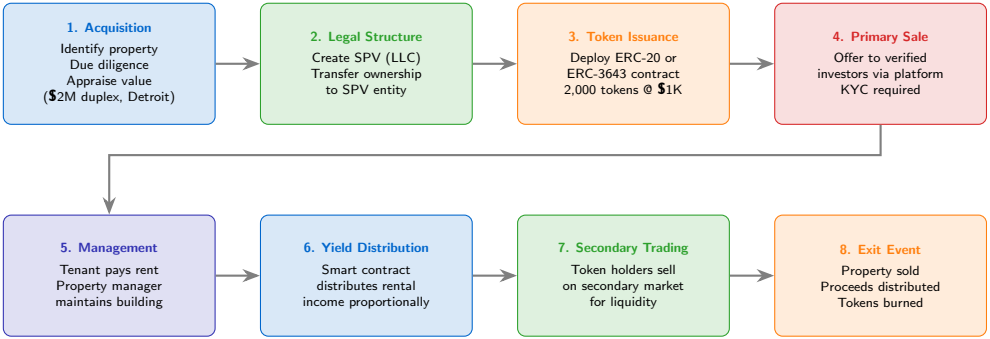
Frames in This Section

- Frame 38: Real Estate Tokenization Architecture
- Frame 39: RealT Platform Deep Dive
- Frame 40: Centrifuge Protocol
- Frame 41: Maple Finance & On-Chain Credit
- Frame 42: Bond Tokenization Case Studies
- Frame 43: Yield-Bearing Token Contract (Code)
- Frame 44: Yield-Bearing Token Landscape
- Frame 45: Institutional Adoption Drivers
- Frame 46: Private Credit On-Chain
- Frame 47: Section 4 Summary

Secti

4 covers real estate, bonds, private credit, and yield-bearing tokens – the fastest-growing RWA categories

Real Estate Tokenization Architecture



The legal structure ensures token = legal ownership share via SPV

Real estate tokenization combines PropTech, DeFi, and securities law – each step requires expertise in legal, technical, and regulatory domains

RealT Platform Deep Dive

RealT Overview

- Pioneer in real estate tokenization (launched 2019)
- Properties: US residential (Detroit, Chicago, Cleveland)
- Blockchain: Gnosis Chain (low fees, fast transactions)
- Token standard: ERC-20 (each property = separate token)
- Minimum investment: ~$50 per token
- Rental yield: distributed weekly in USDC via smart contract
- Average yield: 8–12% APY (rental income)
- Portfolio: 500+ properties tokenized
- DeFi integration: RealT tokens as collateral on RMM (RealT Money Market)

RealT Property Card

Address: 123 Main St, Detroit MI
Property Value: $60,000
Token Price: $50/token
Total Tokens: 1,200
Weekly Rent: $150 (proportional)
Annual Yield: ~10% APY
Occupancy: 95%
Last NAV Update: 2024-Q4

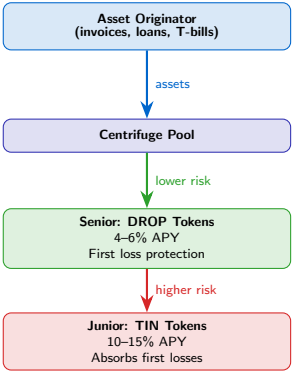
Weekly USDC distribution to all token holders

RealT is the largest tokenized real estate platform by number of properties – 500+ US residential properties available to global investors for $50+

Centrifuge Protocol

Centrifuge Architecture

- Tokenizes real-world credit (not just real estate):
  - Trade finance invoices
  - Revenue-based financing
  - US Treasury bills
  - Mortgage-backed loans
  - Warehouse credit lines
- Centrifuge Chain: Substrate-based (bridges to Ethereum)
- Pool structure: Senior + Junior tranches
- Tinlake: DeFi lending protocol for Centrifuge assets
- MakerDAO integration: $200M+ RWA collateral
- TVL: $300M+



Investor chooses risk/return tradeoff

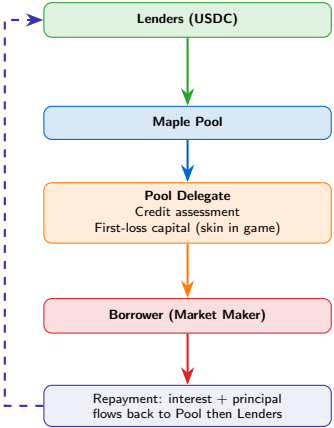
Centr

pioneered structured credit on-chain – tranching allows different risk appetites, exactly like traditional asset-backed securities

Maple Finance & On-Chain Credit

Maple Finance

- Institutional undercollateralized lending on-chain
- Pool delegates (credit experts) assess borrower creditworthiness
- Borrowers: crypto market makers, trading firms, fintech companies
- Lending: USDC or wETH, fixed-term loans
- History: launched 2021, $2B+ total lending volume
- Post-2022 crisis: bad debts from Alameda Research, Orthogonal Trading defaults
- Recovery: pivoted to institutional-grade underwriting, over-collateralized pools
- Maple Direct: compliant lending to institutions



Mapl

2022 defaults ($50M+) showed that undercollateralized on-chain lending carries real credit risk – just like traditional banking

Bond Tokenization Case Studies

JPMorgan Onyx

Tokenized repo transactions ($1B+ daily volume)
Intraday settlement (vs overnight traditional)
JPM Coin for instant payment settlement
Onyx Digital Assets: tokenized T-bills, money market funds

Siemens Digital Bond

$64M bond issued on Polygon (June 2023)
1-year maturity, registered under German electronic securities law
First major corporate bond on public blockchain

European Investment Bank

EUR 100M bond on Ethereum (2021, first)
EUR 50M on Project Venus with BIS (2023)
Partners: BNP Paribas, Goldman Sachs, Societe Generale

World Bank (Bond-i)

AUD 110M bond on Ethereum (2018)
First blockchain bond by multilateral development bank
Managed by Commonwealth Bank of Australia

Bond tokenization is the fastest-growing institutional RWA category

Bond tokenization savings come from instant settlement, 24/7 operations, and automated coupon payments

Yield-Bearing Token (Tokenized T-Bill)

```
// Simplified Yield-Bearing Token
contract TokenizedTBill {
    string public name =
        "Tokenized US T-Bill";
    uint256 public totalShares;
    uint256 public totalAssets;

    mapping(address => uint256)
        public shares;

    function deposit(
        uint256 usdcAmount
    ) external {
        uint256 newShares =
            totalAssets == 0
            ? usdcAmount
            : usdcAmount
              * totalShares
              / totalAssets;
        shares[msg.sender] += newShares;
        totalShares += newShares;
        totalAssets += usdcAmount;
        // Transfer USDC from user
    }

    function rebase(
        uint256 yieldAmount
    ) external onlyManager {
        totalAssets += yieldAmount;
        // Share price increases
    }
}
```

Rebasing Vault Pattern (ERC-4626)

- Vault holds underlying assets (T-bills via custodian)
- Users deposit USDC, receive **shares**
- Share price = `totalAssets / totalShares`
- Manager calls `rebase()` as T-bills earn interest
- `totalAssets` increases ⇒ share price rises
- No token transfer needed – value accrues automatically

Real-World Examples

- **Ondo USDY:** 5.2% APY (T-bills + bank deposits)
- **Franklin BENJI:** 5.0% APY (US Gov Money Fund)
- **MakerDAO sDAI:** 5–8% APY (variable, DSR)
- All use variants of this rebasing/vault pattern

The

Yield-Bearing Token Landscape

Ondo USDY

Tokenized T-bills
+ bank deposits

$300M+ AUM
5.2% APY

Ethereum, Solana,
Mantle

Min $500
Accredited only

Franklin BENJI

US Gov Money Fund
(OnChain)

$400M+ AUM
5.0% APY

Stellar, Polygon

Institutional
First US-registered
fund on public chain

BlackRock BUIDL

USD Institutional
Digital Liquidity Fund

$500M+ AUM
~5% APY

Ethereum

$5M minimum
Institutional only

MakerDAO sDAI

DAI Savings Rate

$2B+ deposits
5–8% APY (variable)

Ethereum

No minimum
Permissionless

Mountain USDM

Yield-bearing
stablecoin

$200M+
~5% APY

Ethereum

Permissionless

$2B+ in tokenized treasuries alone (excluding sDAI)

Yield-bearing tokens brought the "risk-free rate" on-chain – DeFi users can now earn Treasury yields without leaving the blockchain ecosystem

Institutional Adoption Drivers

Efficiency

T+0 settlement vs T+2 traditional

Saves $7B+ annually in collateral costs

24/7 operations (no market close)

Automated coupon/ dividend payments via smart contract

Transparency

Real-time on-chain audit trail

Automated compliance reporting

Instant cap table visibility

Verifiable reserves and holdings

Access

Fractional ownership enables new investors

Global distribution without local custodians

Lower issuance costs ($50K vs $500K+)

Democratized alternatives

Programmability

Programmable compliance (ERC-3643)

Automated corporate actions (dividends, splits, buybacks)

Composability with DeFi (collateral, lending)

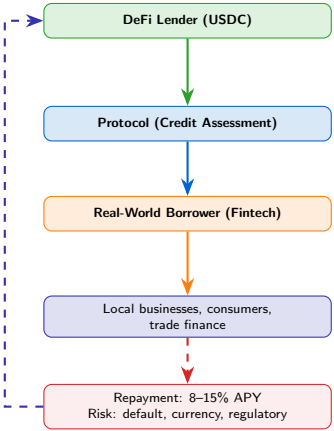
Goldman Sachs estimates tokenization could save $7B+ in annual collateral costs

The institutional case for tokenization is fundamentally about efficiency – Goldman Sachs estimates tokenization could save $7B+ in annual collateral costs

Private Credit On-Chain

On-Chain Credit Protocols

- **Goldfinch:** emerging market lending (India, Kenya, SE Asia), $100M+ originated, borrowers are fintech companies
- **Credix:** Latin American credit markets, trade finance and consumer lending
- **Clearpool:** institutional permissioned lending pools
- **TrueFi:** uncollateralized lending to vetted institutions
- Total on-chain private credit: $500M+ active, $4B+ cumulative
- Default rates: historically 2–5% (similar to traditional private credit)



On-chain private credit brings DeFi yields to real-economy lending – but carries real credit risk, as 2022 defaults demonstrated

Section 4 Summary: Real Estate & Bond Tokenization

1. Real estate tokenization (RealT, 500+ properties) enables $50 minimum investments with weekly rental yield distribution

2. Centrifuge and Maple Finance bring structured credit on-chain with tranche-based risk/return profiles

3. Major institutions are active: JPMorgan ($1B+ daily repo), Siemens ($64M bond on Polygon), EIB (EUR 100M on Ethereum)

4. Yield-bearing tokens (BUIDL, USDY, BENJI) brought the risk-free rate on-chain, attracting $2B+ in tokenized treasuries

5. Institutional adoption is driven by efficiency (T+0 settlement), transparency (on-chain audit), and programmability (automated compliance)

Secti

4 complete — Next: Section 5 – RWA Ecosystem & Future

Section 5: RWA Ecosystem & Future

Market projections, regulatory landscape, interoperability, and the future of tokenized finance

What You Will Learn

- RWA market size projections ($10–16T by 2030)
- BlackRock BUIDL and Ondo Finance as category leaders
- MakerDAO's RWA pivot and DeFi-TradFi convergence
- Regulatory challenges and the path to mainstream adoption

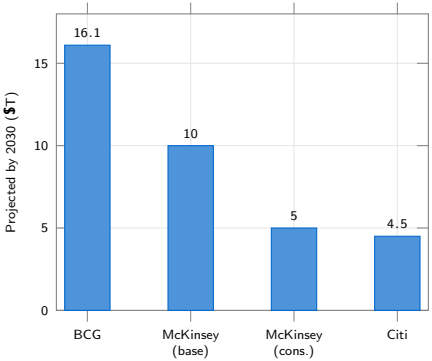
Frames in This Section

- Frame 49: RWA Market Size Projections
- Frame 50: BlackRock BUIDL Fund
- Frame 51: Ondo Finance
- Frame 52: MakerDAO's RWA Pivot
- Frame 53: Regulatory Challenges
- Frame 54: TradFi-DeFi Convergence
- Frame 55: Key Takeaways and Course Summary

Secti

5 covers the RWA ecosystem, major players, market projections, and the path forward for tokenized finance

RWA Market Size Projections



Current (2024/2025): ~$5B tokenized (excl. stablecoins)
Growth multiple: 1,000–3,000x in 5–6 years

Breakdown by Asset Class (2030 Projected)

- **Tokenized funds & bonds:** $5T (40%)
- **Tokenized real estate:** $3T (25%)
- **Tokenized trade finance:** $2T (15%)
- **Tokenized securities:** $1T (8%)
- **Other** (art, IP, carbon, commodities): $1.5T (12%)

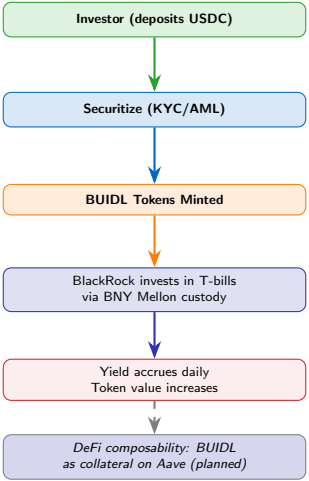
Total addressable:
$10–16T tokenized by 2030
(from ~$5B today)

Even conservative estimates project 1000x growth – the question is not if tokenization will happen, but how fast regulation and infrastructure enable it

BlackRock BUIDL Fund

BUIDL Details

- **Product:** BlackRock USD Institutional Digital Liquidity Fund
- **Asset:** Short-term US Treasury bills
- **Blockchain:** Ethereum (primary), expanding to Avalanche, Polygon, Optimism, Arbitrum via Securitize
- **AUM:** $500M+ (largest tokenized fund)
- **Minimum:** $5M (institutional)
- **Yield:** ~5% APY (passes through T-bill yield)
- **Token:** daily NAV rebase, instant transfers
- **Partners:** Securitize (platform), BNY Mellon (custody), PwC (audit)
- **Significance:** BlackRock = $10T AUM, world's largest asset manager



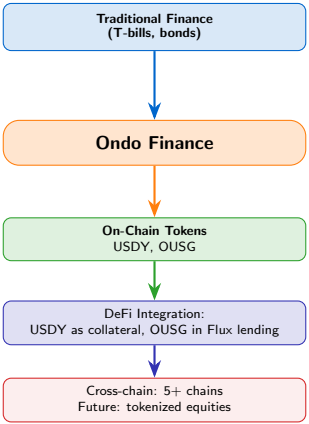
Wher

the world's largest asset manager ($10T AUM) launches a tokenized fund on Ethereum, it signals institutional conviction that blockchain is the future of finance

Ondo Finance

Ondo Products

- **USDY:** yield-bearing stablecoin backed by T-bills and bank deposits, 5.2% APY, $300M+
- **OUSG:** tokenized short-term US government bonds
- Multi-chain: Ethereum, Solana, Mantle, Sui, Aptos
- **Ondo Global Markets:** planned tokenized equities and ETFs
- **Flux Finance:** DeFi lending protocol for tokenized treasuries
- Investment: backed by Pantera, Coinbase Ventures, Founders Fund
- Regulatory approach: Reg D/Reg S exemptions, KYC required

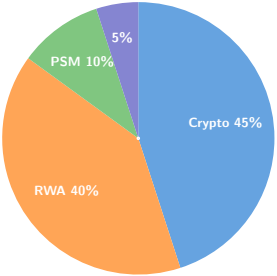


Ondo is the bridge between TradFi yield and DeFi composability – its multi-chain approach makes Treasury yields accessible across the crypto ecosystem

MakerDAO's RWA Pivot

MakerDAO (now Sky) RWA Journey

- **2020:** First RWA collateral (Centrifuge assets)
- **2022:** $500M allocated to US Treasuries (via Monetalis Clydesdale)
- **2023:** RWA allocation reaches $2B+ (largest DeFi-to-TradFi bridge)
- **2024:** RWA represents 40%+ of DAI backing
- Collateral types:
  - US Treasury bills ($1.5B+ via BlockTower, Monetalis)
  - Centrifuge pools (trade finance, real estate)
  - Coinbase USDC institutional custody
- Revenue: RWA vaults generate 60%+ of MakerDAO revenue
- Controversy: centralization concerns – DAI now depends heavily on TradFi assets



DAI Backing Composition

Legend:
- Crypto (ETH, WBTC, stETH): 45%
- RWA / US Treasuries: 40%
- PSM (USDC 1:1): 10%
- Other: 5%

Make

RWA pivot is the most significant DeFi-TradFi convergence event – $2B+ in Treasury bills backing a decentralized stablecoin

Regulatory Challenges & Legal Gaps

Jurisdictional Fragmentation

Token issued in Singapore, traded in EU, held by US investor – which law applies?

No global standard for tokenized securities

MiCA (EU) vs SEC (US) vs MAS (Singapore) vs VARA (Dubai) – all different rules

Legal Enforceability

Does a token convey LEGAL ownership? Only if legal wrapper is properly structured

Bankruptcy: are token holders secured creditors?

Smart contract bugs: who is liable?

Cross-Border Settlement

KYC/AML standards differ by country

Tax withholding on cross-border dividends

Currency conversion and FX risk for international investors

The Oracle Problem (Revisited)

Physical asset can deteriorate or change status without blockchain update

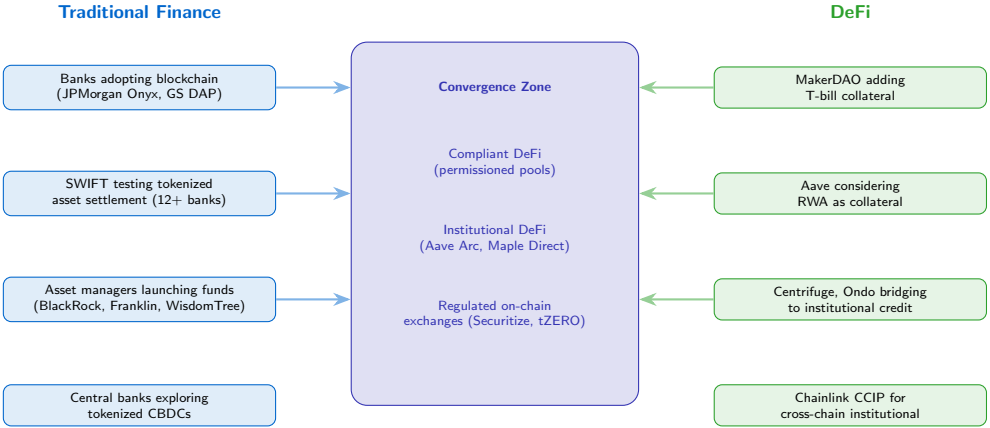
Who ensures the building hasn't burned down?

Insurance, auditing, dispute resolution remain off-chain

Regu

is the biggest barrier to RWA growth – technology is ready, legal frameworks are not, and fragmentation across jurisdictions creates friction

TradFi-DeFi Convergence



Future: Programmable, compliant, 24/7 financial markets

The convergence is bidirectional: TradFi is coming to blockchain AND DeFi is becoming regulated – the middle ground is "institutional DeFi"

Key Takeaways and Course Summary

1. **Tokenization Fundamentals** – tokenization digitizes asset ownership via blockchain + legal wrappers; ERC-3643 enables compliant security tokens

2. **Stablecoins** – $150B+ market, fiat-backed dominates; Terra/Luna proved algorithmic models are fatally flawed; MiCA sets regulatory template

3. **Security Tokens & Compliance** – Howey test determines classification; on-chain KYC/AML via identity registries; SPVs bridge legal and digital worlds

4. **Real Estate & Bonds** – RealT (500+ properties), JPMorgan ($1B+ daily), BlackRock BUIDL ($500M+); yield-bearing tokens bring risk-free rate on-chain

5. **RWA Future** – $10–16T projected by 2030; TradFi and DeFi converging; regulation is the biggest barrier; institutional conviction is accelerating

Next: Advanced topics in DeFi-TradFi integration, CBDC design, and cross-chain institutional infrastructure

Cours

complete — 5 sections, 55 frames — From tokenization fundamentals to the future of real-world assets on-chain